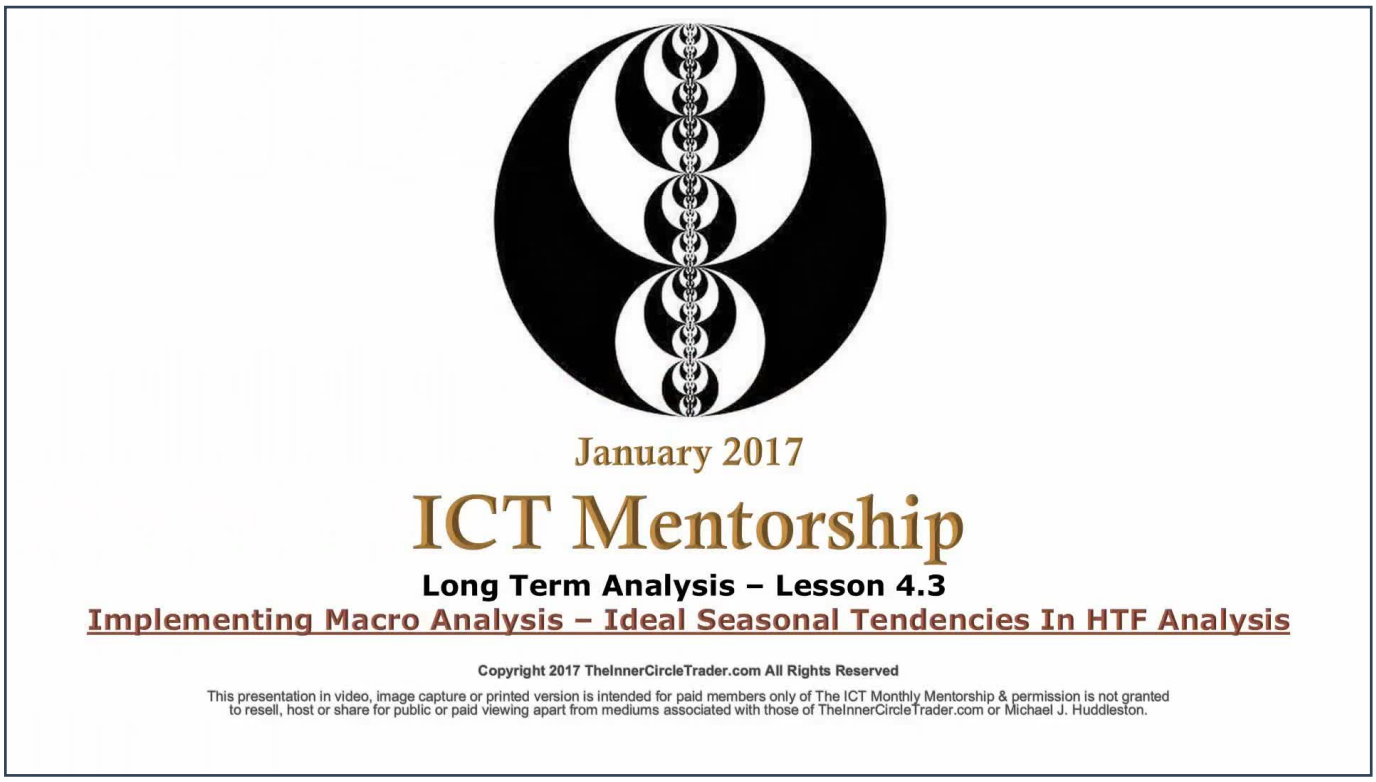
ICT MENTORSHIP CORE CONTENT

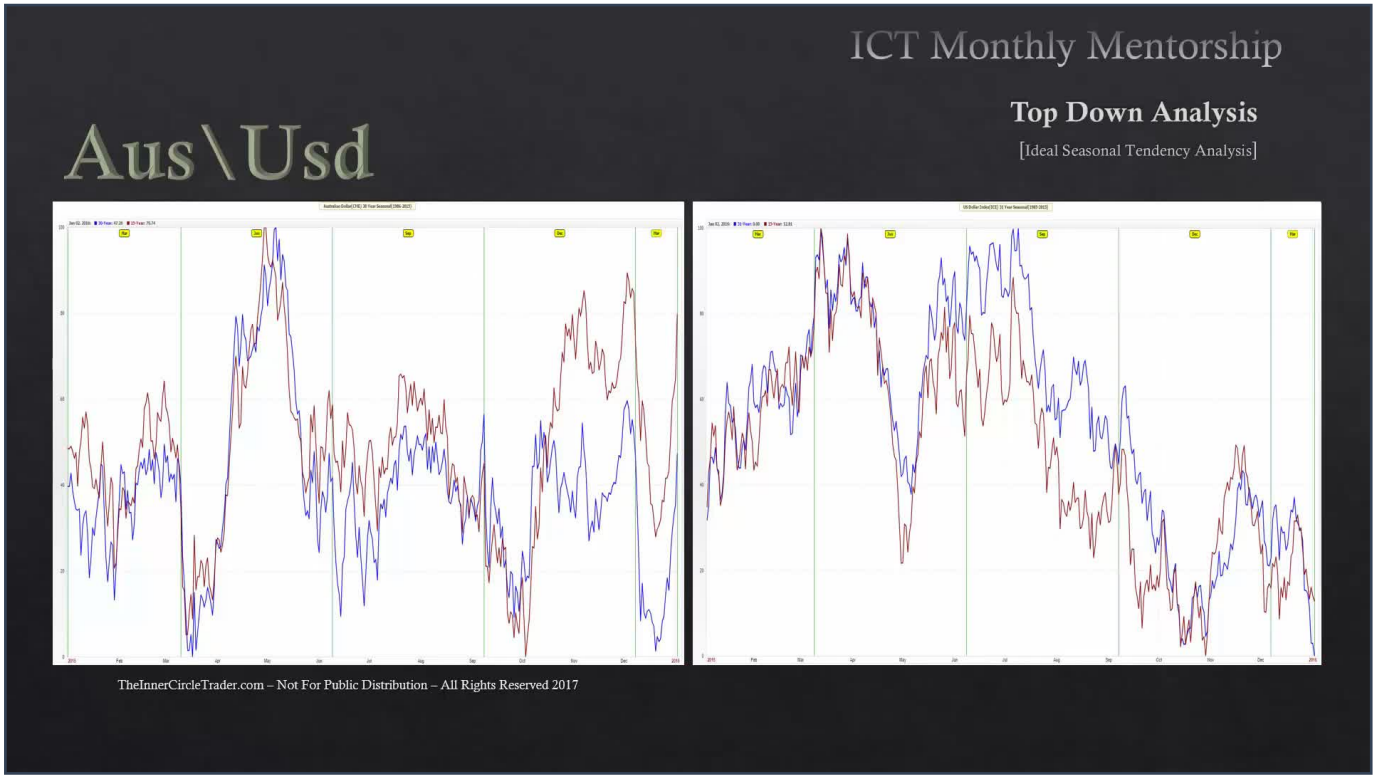
ICT MENTORSHIP CORE CONTENT - MONTH 05 - IDEAL SEASONAL TENDENCIES



This lesson focuses on ideal seasonal tendencies and higher time frame analysis specifically for foreign exchange (FX) pairs. Seasonal tendencies are reminders of what has happened in the past with price action, serving as road maps, not a Panacea or an absolution. When looking at charts for FX pairs, the orientation is as follows:

- The chart on the left represents the Futures price seasonal tendency of a specific currency (e.g., Australian dollar).

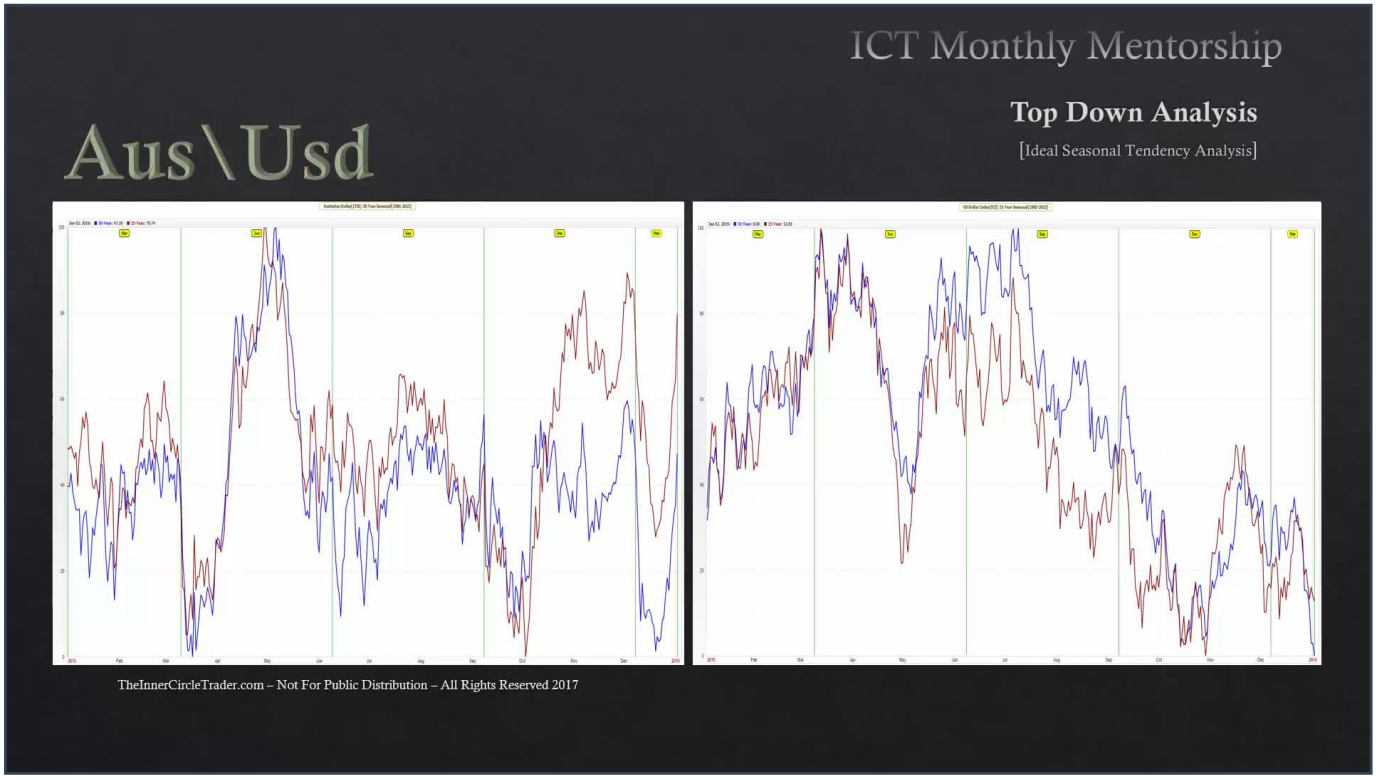
- The chart on the right represents the US dollar Index (USDX) Futures price seasonal tendency.



An ideal seasonal tendency is identified by comparing two seasonal tendency charts (e.g., a currency Future and the USDX Future) and looking for the most diametrically opposed price action between them.

- An ideal seasonal tendency occurs when the underlying market is predisposed to move in the direction outlined by the seasonal tendency.

- These tendencies are not guaranteed every year, but serve as a general rule of thumb, providing numerous potential long-term trade setups across major pairs annually.



The Australian Dollar (AUD) shows a strong seasonal tendency for its Futures prices to rally in March and make a top in May. Concurrently, the Dollar Index (USDX) exhibits a contrasting seasonal tendency to sell off between March and make a low in May.

- This creates a qualified ideal scenario for the AUD/USD FX pair to rally from March to May. A rally in AUD/USD signifies the rise of Australian dollar Futures prices versus lower prices on the Dollar Index.

- This trade is best suited for:

- A long-term primary bullish AUD market.

- Situations where a long-term low has formed.

NEW ZEALAND DOLLAR (NZD/USD) SEASONAL TENDENCY

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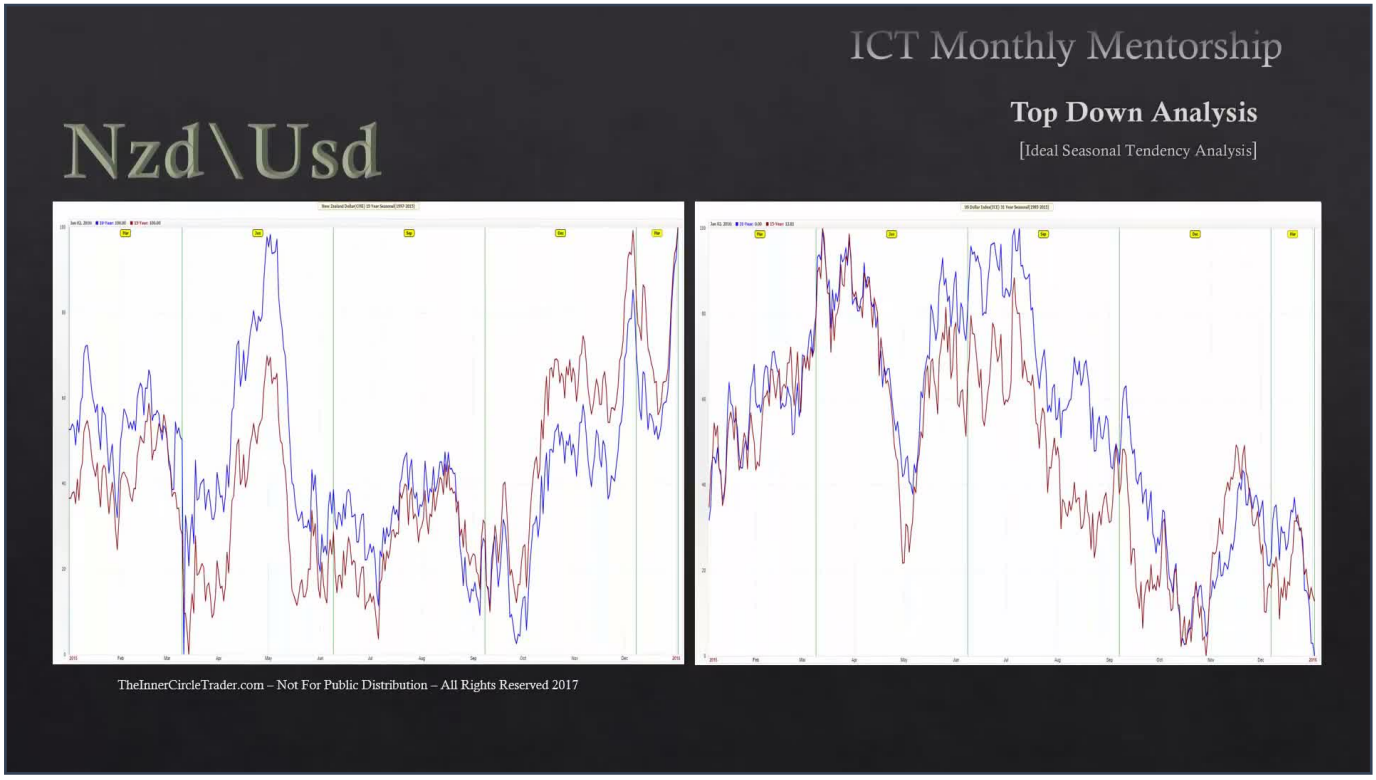

The New Zealand Dollar (NZD) Futures contract typically rallies between March and April, making a high in May. The US Dollar Index (USDX) Futures seasonal tendency shows a contrasting sell-off during the same period, with a high in April and a low forming in May.

- The focus here is on the highest ideal long-term setups, selecting the most obvious seasonal tendencies with strong historical data.

- The best scenario for this trade is when there is an underlying bullish condition for the New Zealand dollar.

- Expect a seasonal low to form between March and April, followed by a rally lasting a couple of months into May.

EURO DOLLAR (EUR/USD) SEASONAL TENDENCY

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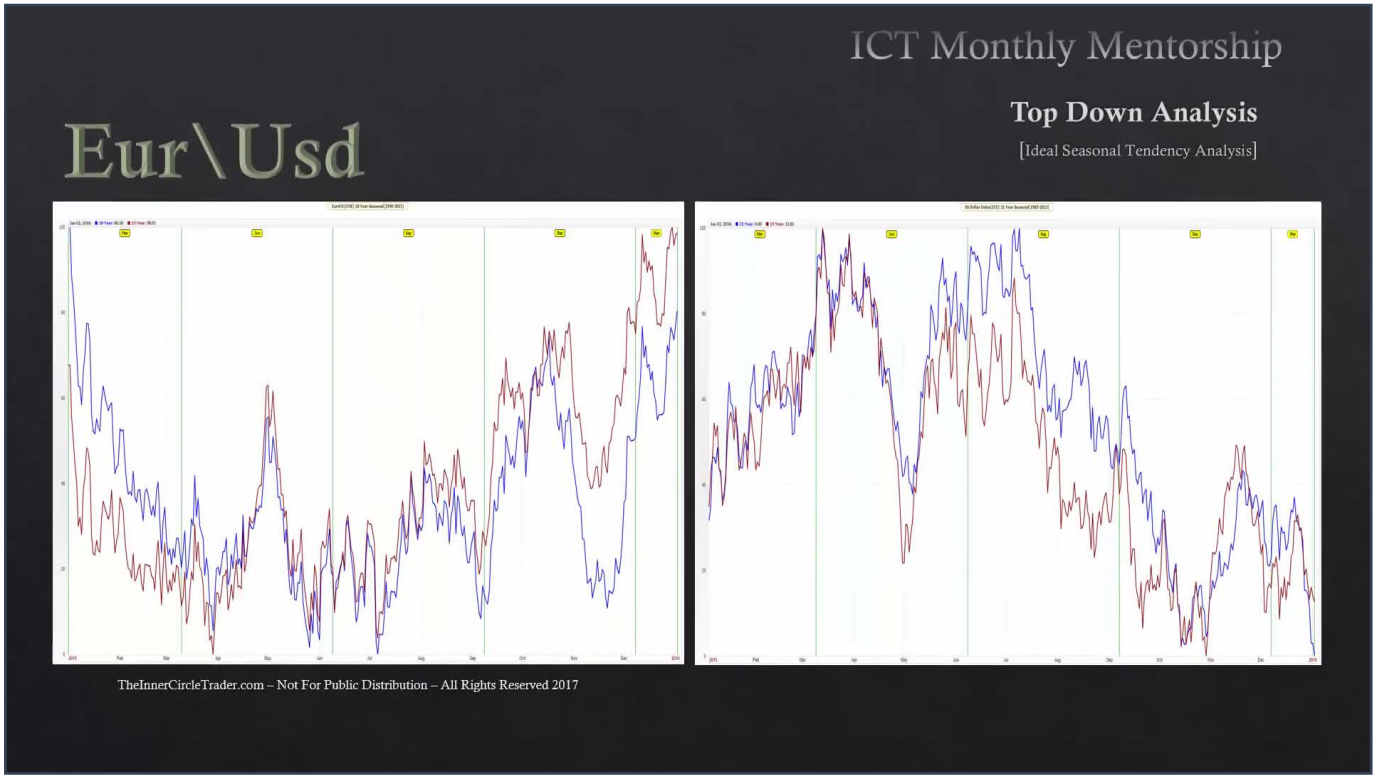
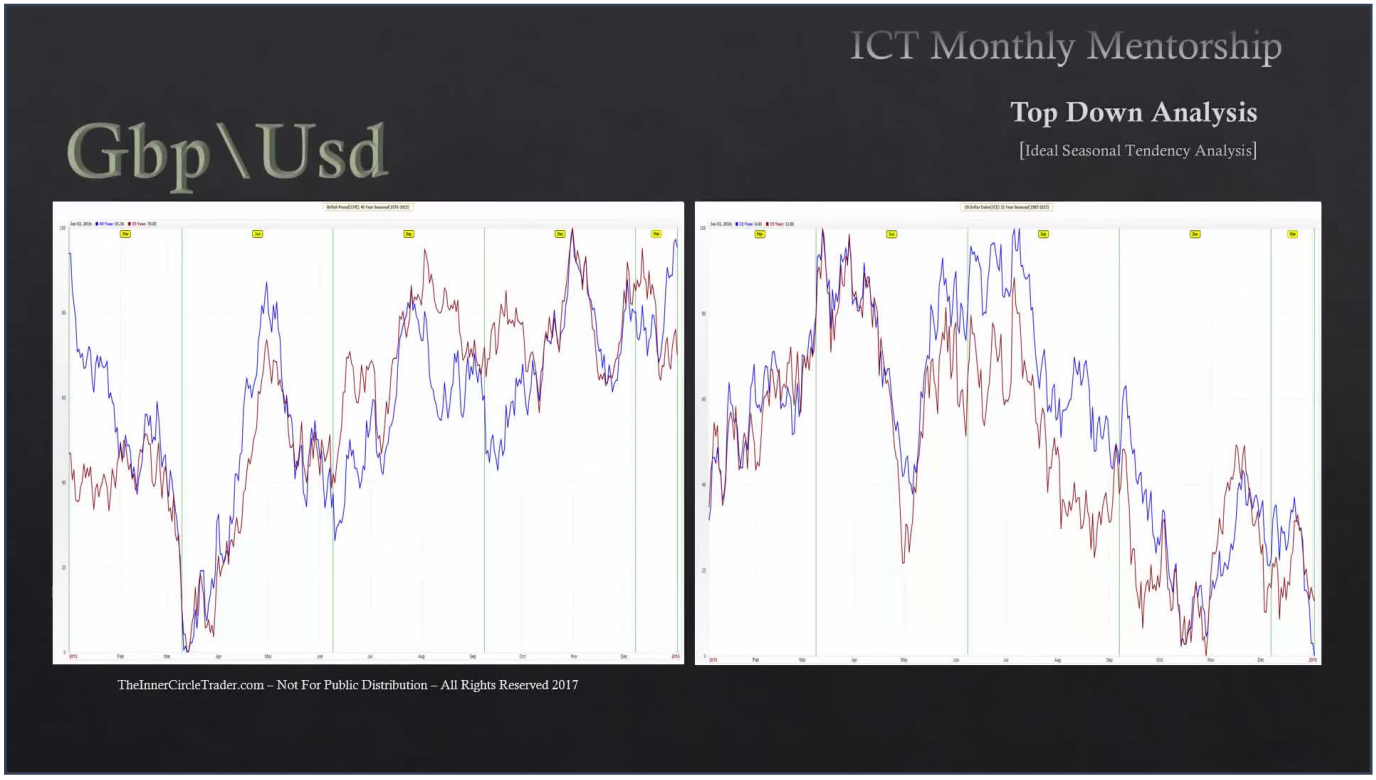


For the Euro Dollar (Fiber), the Euro Futures price typically forms a seasonal low between June and July. This coincides with a high forming in the US Dollar Index (USDX).

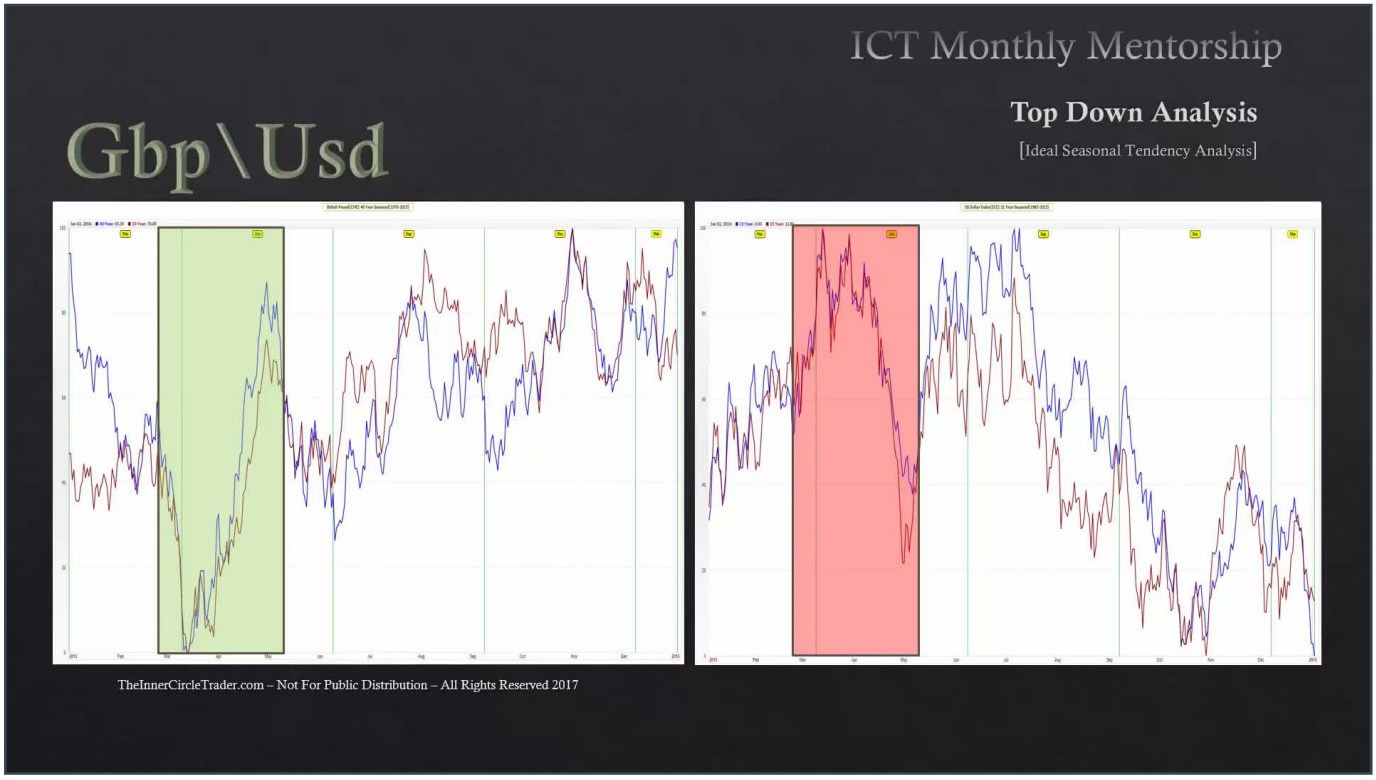
- As a long-term, higher time frame scenario, the ideal expectation is for a low to form in the summer months for the Euro Dollar.



For the British Pound (Cable), its Futures price exhibits the strongest tendency to make a low in March, with a high forming in May. The US Dollar Index (USDX) shows a contrasting seasonal tendency, forming a high between March and April, and a low in May.

- This represents the highest probable or ideal scenario for seasonal tendencies in GBP/USD. It is a favorable time to expect a bullish scenario for a long-term trade, especially if the underlying market for the British Pound is bullish or in a long-term uptrend.

- Expect a seasonal low to form between March and April, supported by a seasonal sell-off in the Dollar.



The British Pound Futures seasonal tendency chart on the left displays two data lines:

- The blue line represents 40 years of data.

- The red line represents 15 years of data.

- This broad historical data (40 years) combined with confirmation from a shorter-term view (15 years) indicates a strong seasonal tendency.

- Between March and April, a seasonal low typically forms, followed by a rally making a spring high around May.

- This pattern is highly positive and most likely expected to occur when the underlying British Pound is in a strong uptrend, or a long-term turn is suspected, providing an opportunity to test this theory with a trade.

DOLLAR SWISSY (USD/CHF) SEASONAL TENDENCY

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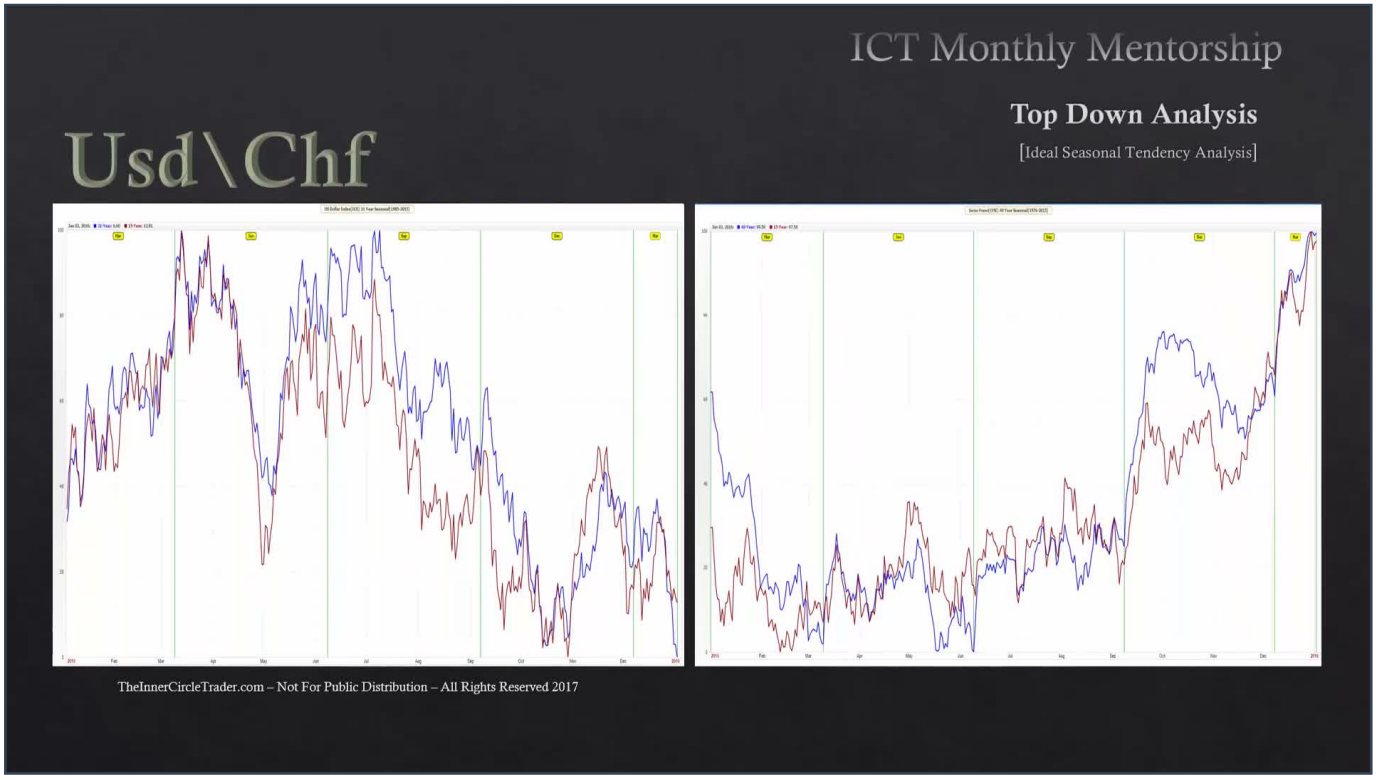

For the US Dollar versus Swiss Franc (Dollar Swissy), the US Dollar Index (USDX) shows a seasonal tendency to make a high in the June-July time period, forming summer highs. In contrast, the Swiss Franc Futures chart exhibits a seasonal low forming in June-July.

- This indicates a strong tendency for a major turning point in the summer months for the USD/CHF pair.

- This is an ideal scenario for trading when:

- The dollar is in a bearish market or a primary downtrend.

- The Swiss Franc is in a primary uptrend.

DOLLAR JAPANESE YEN (USD/JPY) SEASONAL TENDENCY

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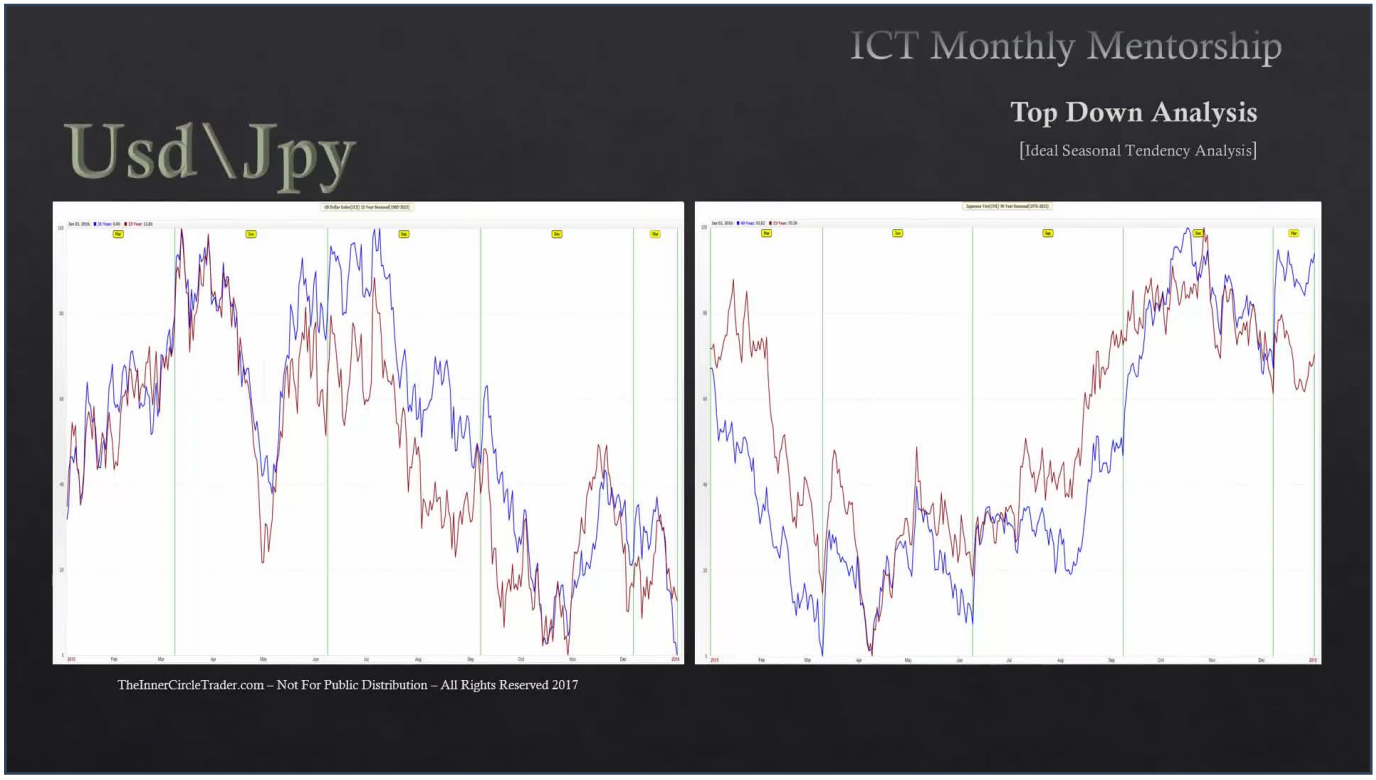
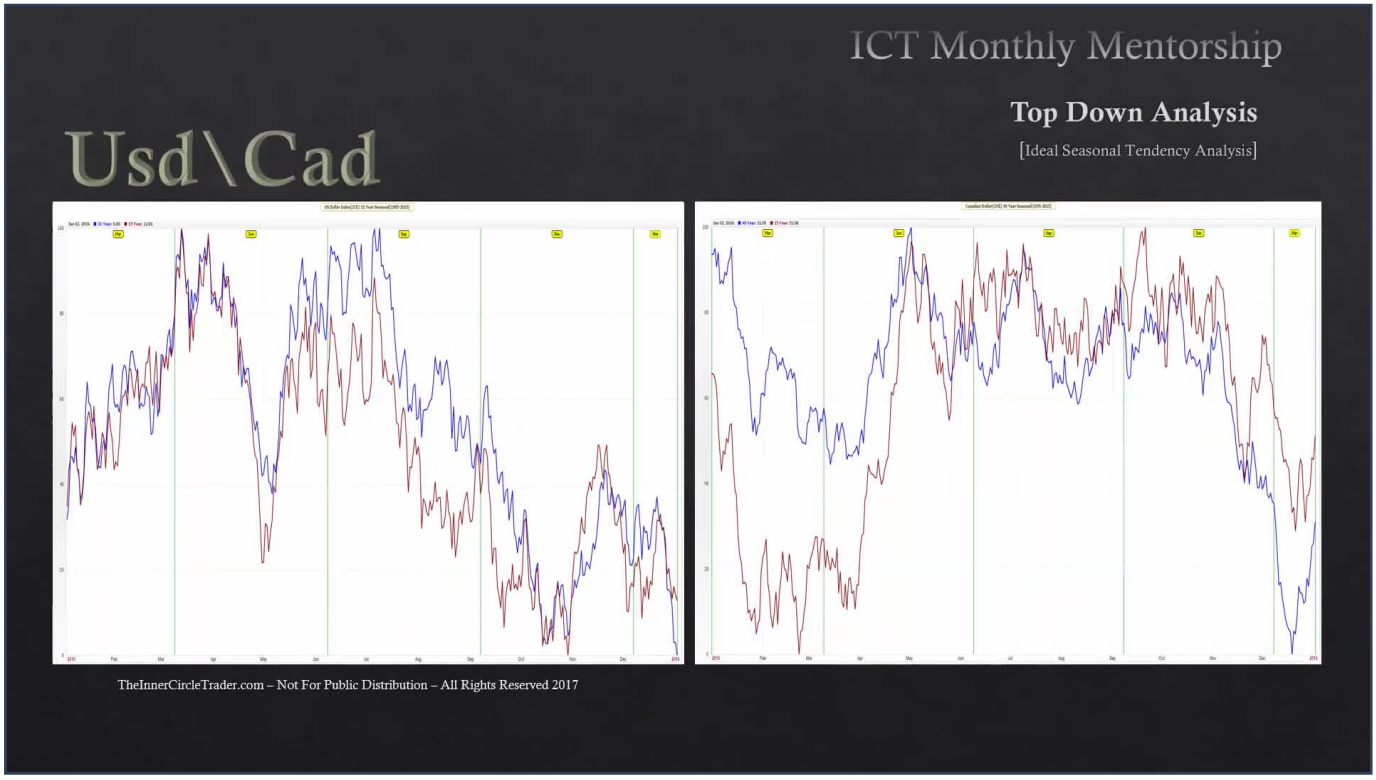


For the US Dollar versus Japanese Yen (USD/JPY), the US Dollar Index (USDX) shows its strongest tendency to form a high and sell off into May. The Japanese Yen Futures price exhibits the opposite, forming a seasonal low in March-April, which generally marks a long-term low for the Japanese Yen across the calendar year.

- Trading strategy for this seasonal tendency:

- If the Dollar Index is in a downtrend, it is a good opportunity to sell USD/JPY.

- If the Japanese Yen is in a bullish uptrend, it is a good time to sell short the USD/JPY pair, effectively buying the strength of the Japanese Yen while selling dollars.

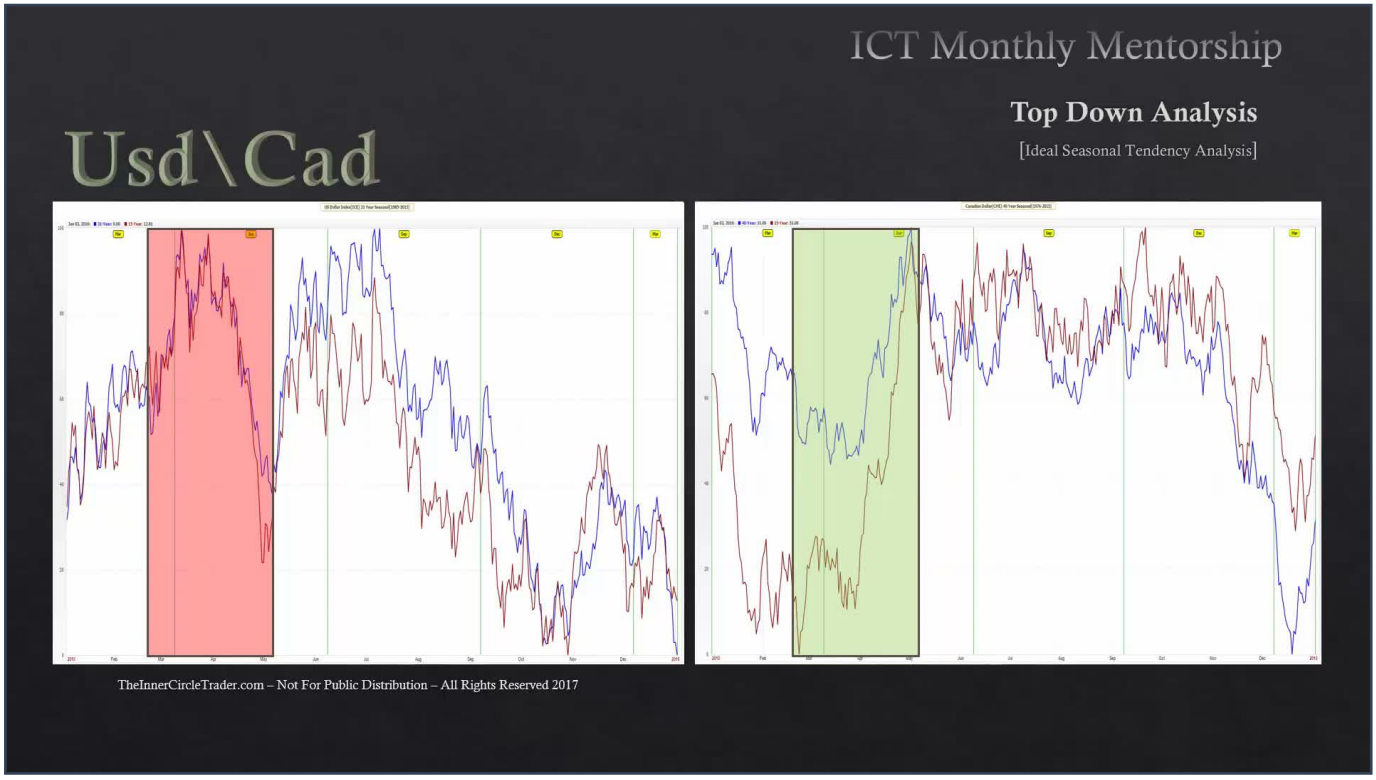


For the US Dollar versus Canadian Dollar (Dollar CAD), the US Dollar Index (USDX) shows a strong tendency to create a high in the March-April period, with a low forming in May. Conversely, the Canadian Dollar Futures seasonal tendency shows a low forming in March-April and a high forming in May.

- How to use this seasonal tendency:

- If you are bearish on the Dollar Index, this is a good time to be selling short USD/CAD.

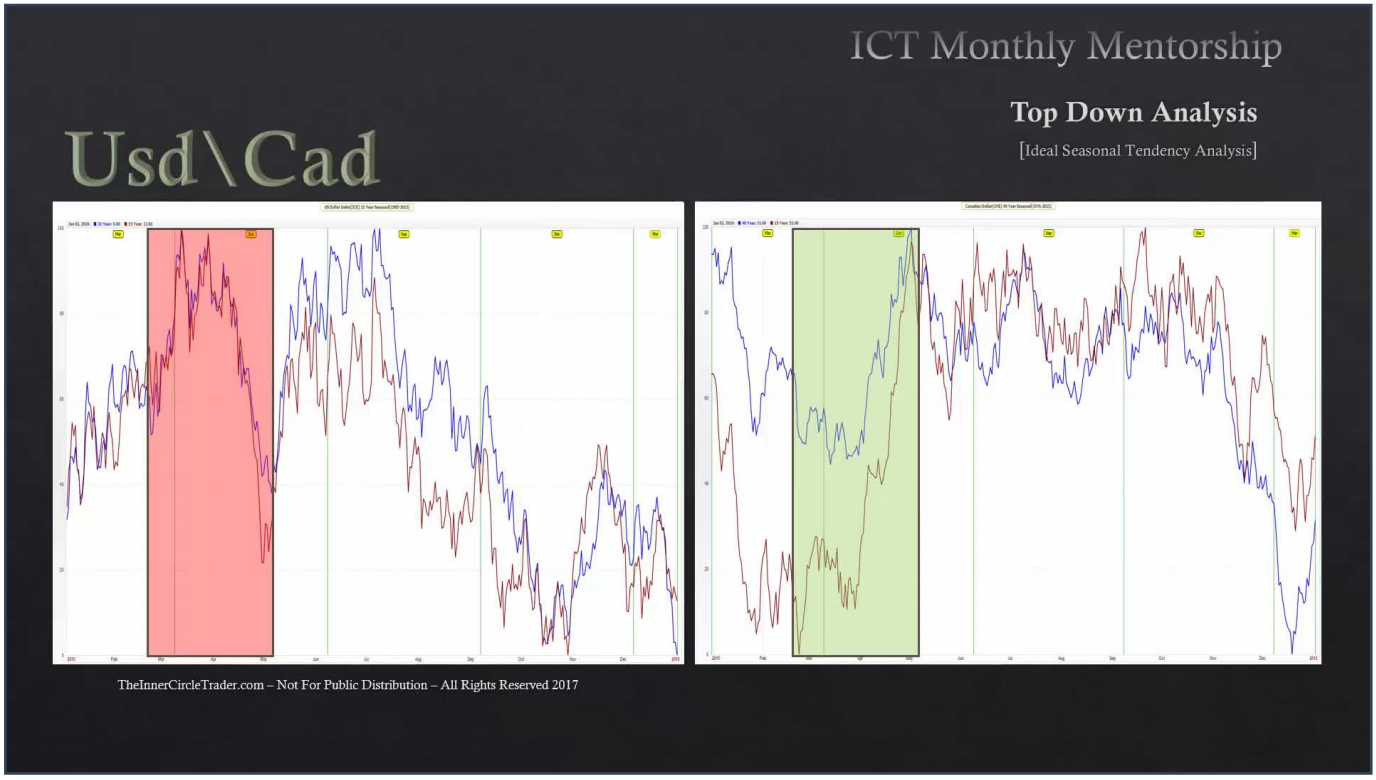
- If you are long-term bullish on the Canadian dollar, this is a good time to sell the USD/CAD pair, capitalizing on underlying weakness in the Dollar Index and strength in the Canadian dollar.



When analyzing seasonal tendencies, such as the Dollar Index forming a long-term seasonal high between March and April, this is an ideal scenario to be selling dollars if the primary bias for the Dollar Index is bearish.

- However, if the Dollar Index itself isn't clearly bearish, but a paired currency (e.g., Canadian Dollar) shows a strong seasonal tendency to rally during that same March-April period (e.g., forming a low and rising into May) and has an underlying bullish uptrend, then this also creates a strong opportunity to sell the USD/CAD pair.

- The key is a blending of ideas: you don't necessarily need both the dollar and the paired currency to be in their respective ideal primary trends. Often, one strong underlying trend combined with a clear seasonal tendency for the paired currency is sufficient to identify high-probability trades.



Blending market bias with seasonal tendencies helps pinpoint specific calendar months and times of the year with the highest probability for significant price moves.

- Key practices:

- Proactively mark your calendar with specific months to focus on potential seasonal plays.

- Keep notes on your trading desk detailing 'things to watch this month' and 'things to watch the coming month'.

- Start every trading day by reviewing a macro perspective, checking if the current period aligns with a high probability for a sustainable move based on seasonal tendencies.

- Seasonal tendencies provide unique clues and rhythm to future price action. They are fundamental and will be referenced multiple times across different trading disciplines, including swing trading and short-term trading, and are particularly crucial for higher time frame analysis.